Participation in an IO operates like a renewable contract: For states to remain engaged, the benefits must outweigh the costs (Keohane 1984). To tip this balance in favor of continued membership even as populist leaders perceive relatively high costs, IOs can offer populist leaders enhanced benefits or reduced burdens. These adjustments might take the form of temporary concessions, such as increased aid during a populist leader's tenure, or longer-term structural reforms, like granting a populist-led state more control or influence within the organization. Similarly, IOs can mitigate the perceived costs of participation by softening policies that populists find objectionable, such as stringent rules or what they see as onerous loan conditions.

While existing scholarship highlights various reasons why IOs show favoritism to their members—including political competition between organizations (Lipscy 2015) and concerns over institutional legitimacy (Imerman 2018; Lenz, Burilkov, and Viola 2019)—we emphasize the importance of populism. Politically significant states, such as those with temporary seats on the UN Security Council or the World Bank board, have long been shown to secure preferential treatment, such as receiving more projects or fewer loan conditions (Dreher, Sturm, and Vreeland 2009; Kaja and Werker 2010; Kilby 2011; Lim and Vreeland 2013; Clark and Dolan 2021). However, we argue that populist leaders, with their heightened and more credible threats to disengage, are especially likely to reap such rewards.[6] Populists' vocal opposition and ideological divergence compel IOs to attempt to mollify them.

By incorporating populism into an analysis of IO favoritism, this chapter contributes to a broader understanding of global governance reform. Much of the literature on institutional change focuses on systemic shocks—political or economic disruptions that create opportunities for transformation (Krasner 1976; Wallander 2000). These moments of upheaval, or puncutated equilibria, are often seen as prerequisites for overcoming institutional inertia (Bennett and Elman 2006; Page 2006).

However, we challenge this perspective and demonstrate that IOs frequently implement reforms to appease skeptical leaders even in the absence of dramatic external shocks. Populists, with their intense and credible opposition, create localized pressures that can drive change. This recalibration may result in concessions but can also have long-term policy